STRATEGIC LEADERSHIP

MBA 2025-26 Term VI

Instructor: Professor Anirvan Pant

E-mail: anirvan@iimcal.ac.in

[The early sessions of this course are foundational, and the course has a sequential logic. Students on STEP/CEMS who expect to miss a significant number of sessions at the outset in this course may find their midstream transition into this course rather jarring and should consider carefully their decision to enrol for this course]

COURSE OVERVIEW

What shapes strategic choices? Are they molded, primarily, by powerful constraining forces external to the organization ('structure') or by the reflexive choices ('agency') of the strategist? Through the late 1970s and early 1980s, the academic field of Strategic Management was conceptualized and legitimized by a group of renegade academics dissatisfied with the prevalent perspectives of business policy and industrial organization. Within the context of business schools, they sought to combine elements from both, and to direct the attention of the emerging field towards the agenda of the chief executive. Over the years that followed, the field developed a teleological obsession with the concept of sustainable competitive advantage, strategy's very own holy grail. Today, discussions on competitive and corporate strategy continue to be anchored in the core concept of (competitive/corporate) advantage which, one infers, is accumulated (or lost) over time, revealed through competitive friction, sculpted (for better or worse) through the firm's strategic choices, and refracted through environmental shifts and the strategic choices of others.

Orthodoxy in the field of strategic management advocates, seemingly unequivocally, the value of uniqueness. Uniqueness in the architecture of strategic choices is likely to require the cultivation of mental models oriented towards critical thinking, novelty, and judgment. However, for students of strategy, the upshot of the intellectual trajectory outlined in the earlier paragraph has been a sustained focus in strategy courses on inventories of strategy taxonomies and typologies and the enumeration of causal mechanisms that are expected to explain superior performance. Far less frequent are debates and discussions organized around the problem framing pathways, sociological scaffoldings, and cognitive foundations of novel strategies. Indeed, one may get the impression that the craft of conceptualizing novelty is itself mundane and unique strategies are probably just dropped off by the stork. In a discussion on (say) diversification strategies, we are likely to bestow far more attention to the logic of the ex-ante relatedness of markets entered (the nature of strategies) than to the de novo conceptualization of relatedness between two seemingly unrelated markets (the origin of strategies). It is in this oft-neglected conceptualization – and enactment – of novel frames that the essence of strategic thinking lies. The dynamic architecture of

organization-level strategic choices resulting from cycles of strategic thinking is what I call *Strategic Leadership.*

The course on strategic leadership can be viewed as a response to the concerns expressed some years past by strategy scholars such as Joseph Bower and Cynthia Montgomery on the 'disappearance' of 'leadership' from strategy. Partly, this disappearance was a consequence of the excessive influence of the perspective of the economist (through the stream of industrial organization) on the trajectory of strategy as a field. This course on Strategic Leadership is an attempt to redress the balance by infusing agency into considerations of strategy, without jettisoning the conceptual edifice of mainstream strategic management. This course builds upon the conceptual and analytical scope of the core course in Strategic Management while engaging with the dynamic aspect of leading organizations.

The course on Strategic Leadership has been designed as an advanced strategy course for those seeking to 'look under the hood', explore the ingredients of novel strategies, and cultivate judgment as a strategic / leadership skill. It needs to be emphasized that this is not, in conventional terms, a leadership course. The perspective of strategic leadership is very different from the dominant view of leadership rooted in organizational behavior. In this course, as against the traditional focus on leadership *in* organizations (i.e. motivating people to work well, etc.), we will focus on the leadership *of* organizations (i.e. shaping the firm's strategic choices). Further, in contrast to the core course in Strategic Management, the analytical thrust of class discussion in this course will not be on seeking explanations of firm performance but *on developing plausible explanations for why a leader makes a specific sequence of strategic choices on behalf of an organization or a collective*. The enhanced degree of uncertainty and complexity generated globally by the COVID-19 pandemic only serves to enhance the value of a careful appraisal of strategic choices. Correspondingly, the readings in this course integrate a wide range of materials from old as well as new streams of strategy research – e.g., on strategy process, strategic entrepreneurship and managerial cognition – that have a bearing on strategic choice. More generally, this course seeks to include perspectives derived from the sociology of strategy and the psychology of strategy rather than merely from the economics of strategy.

The course on Strategic Leadership is grounded in case discussions from the beginning through to the end. These cases will cover a vast historical landscape of corporations, military leaders, and global statesmen overcoming contestation, battling resource constraint, engaging with ambiguity and uncertainty, and exercising power. While the majority of the cases have to do with the contemporary for-profit private sector, we will cover a diverse set of contexts even within the for-profit private sector in terms of industries / sectors (e.g., from automotive to (modern) art, organizational form (from multibusiness to multinational), and purpose (from shareholder value to enterprise longevity).

COURSE OBJECTIVES

The principal learning objectives of the course are:

1. To apply tools of creative and critical thinking to complex problems of strategy;
2. To develop a conceptual and contextual understanding of the patterns of strategic choices discernible in the rise, decline, and renewal of enterprises.
3. To cultivate a capacity for judgment, or strategic choice making under uncertainty and ambiguity, that builds upon the capacity for analytical problem solving honed in the core course on Strategic Management.

COURSE ORGANIZATION & PEDAGOGY

This course has been structured into three modules. These are:
Module I. The Tools of Strategic Leadership
Module II. The Dilemmas of Strategic Leadership
Module III. The Arc of Strategic Leadership

The principal pedagogical tool in this course is the case method. Cases simulate reality, to the extent possible, in the restricted environs of the (online) classroom and help you experience the interaction between concepts and actions in managerial decision making. Our case discussions in class will pursue lines of reasoning driven by analysis as well as by informed judgement. The choices you recommend on behalf of the decision maker(s) in the case must be pragmatic, yet you will also discover that they are often intensely personal. Indeed, in order to gain value from class discussions, you must consciously place yourselves in the role of the key decision maker(s) identifiable in the case. This, in turn, requires an intensive level of preparation prior to the class for every session. Please allow for adequate time for such preparation during the week. This will require you to devote more time to reading and comprehending these articles. To equip yourselves for case analysis in strategic management, please read carefully the introductory hand-out on 'Analyzing Strategic Management Cases.'

COURSE EVALUATION

Evaluation in this course has four components:

1. Class Participation	25%
2. Surprise Quiz / Take-Home Assignment(s)	25%
3. Learning Diary	50%

With regard to these three components, please note the following:

- Class participation is central to the case method of teaching. Your class participation grade will be based on the quality and relevance, not quantity, of your contributions in class. Please attempt to express your analysis (not opinion!) succinctly and to participate in the collective problem-solving process in class. Also, please remember

that, in class, silence is not golden. Speak up. Even if you think what you have to say may be controversial, speak up. I reserve my prerogative to cold call on you. I will mark every course participant for class participation in every session on a scale of 0 to 4. The criteria I will use to grade you for class participation are contribution to each class discussion, evidence of careful case analysis using case data, validity of inferences drawn, contribution of interesting examples and comparisons, ability to consider issues not immediately obvious, capacity and willingness to be an active listener, and engagement in constructive debate with fellow participants. Your chat comments as well as oral observations will be used for scoring your participation for that day. Do note that quality counts in class participation scores and brevity is appreciated. I must emphasize that brevity refers to the most succinct mode of communication of an argument, and not to the incomplete communication of that argument. Indeed, you may find that that airtime consumed per individual in class is often (but not always) inversely correlated with the quantum of sense per comment and the quantum of my solace at the end of a session. Needless to say, your absence from class will result in a null score for that day.

- I may conduct surprise quizzes in class. These quizzes will interrogate your understanding on some aspect of the case assigned for discussion on that particular day. Since none of the quizzes will be announced in advance, absentees will not be eligible for a make-up quiz. It is possible that take home assignment(s) may substitute for some/all of the quizzes. However, take home assignments cannot be used to substitute for absence during a surprise quiz.
- Each participant will be required to submit a learning diary. For the purposes of this course, the term 'learning diary' refers to a set of date-specified entries sharing your reflections on the case discussions and the readings in the course. For example, in your diary entry after a particular case discussion, you may highlight how you agree or disagree with the discussion, and how your own experience or your wider reading corroborates your argument. Or, after reading the newspaper one morning, you may think back to a reading from this course, or a case discussion, and make a diary entry on how the news item relates to the course's themes. The learning diary will be enabled online for this course through Google Classroom and I will review your respective diaries on a real-time basis throughout the course.
- Expect a zero-tolerance policy towards plagiarism. Be sure to clearly reference your data sources, using footnotes or end-notes, in all your written submissions. Cite web addresses in full where web-based information has been used. In case of verbatim quotes of a sentence or more, it is usually necessary to use quotation marks and cite page numbers. If I detect any plagiarism in your submitted work, severe penalties will be levied.
    - How likely are you to get away unscathed if you use generative AI to write up your learning diary and don't acknowledge that you did so? Quite likely. But, it would be a pyrrhic victory.

SESSION-WISE SCHEDULE

Module I
The Tools of Strategic Leadership

Sessions 01 & 02. What is This a Case of? Part I: Analogical Reasoning

Case for Discussion: [In-Class Exhibition]

Background Readings:
1. 'How Strategists Really Think: The Power of Analogy', Gavetti & Rivkin, Harvard Business Review, 2005.
2. 'Time to Think More About Sarajevo, Less About Munich', Financial Times, 2014.
3. 'Putting Leadership Back into Strategy', Montgomery, Harvard Business Review, 2008.

Session 03. What is This a Case of? Part II: Categories and Competition

Case for Discussion: Saffronart.com

Background Readings:
1. 'Michel Foucault's Lessons for Business.' 2018. Schumpeter. The Economist.
2. 'How to Use Analogies to Introduce New Ideas', Bingham & Kahl, MIT Sloan Management Review, 2013.
3. 'How Would-Be Category Kings Become Commoners', McDonald & Krach, MIT Sloan Management Review, 2021.

Preparatory Questions: How is the price of a piece of art determined? What created the opportunity for Saffronart? Did Minal and Dinesh Vazirani adopt the right business model to capitalize on this opportunity? What should they do next?

Session 04. The Landscape of Strategic Leadership

Background Readings:
1. 'Management is Much More Than a Science: Limits of Data-Driven Decision Making', Martin & Golsby-Smith, Harvard Business Review, 2017.
2. 'The New Psychology of Strategic Leadership', Gavetti, Harvard Business Review, 2011.
3. 'The Elements of Good Judgment', Likierman, Harvard Business Review, 2020.

Session 05. Who are We? The Strategy-Identity Nexus

Case for Discussion: Fujifilm
Case Update: 'Snapshot of a Humbled Giant' & 'A Victim of Its Own Success', Financial Times, 2012.

Background Readings:
1. 'How to Manage Your Most Precious Resource: Organizational Attention', Schoemaker & Day, Rotman Management, 2020.
2. 'The I*Dimension', Chapter 1, Bouchikhi & Kimberly, The Soul of the Corporation: How to Manage the Identity of Your Company.

Preparatory Questions: Evaluate Fuji's transition from from analog photography to digital imaging. How was the firm's behavior shaped by its identity? Fuji has entered a broad range of businesses ranging from flat panel display materials to pharmaceuticals to cosmetics in its search for a second foundation. What criteria should Komori use to screen opportunities? In moving to a 'second foundation', should Fuji exit any of its legacy businesses? If Fuji's identity is no longer 'imaging and information' what should it be?

Session 06. What If? Counterfactual Reasoning & Scenario Thinking

Case for Discussion: Swine Flu
Case Update: The Long Shadow of the 1976 Swine Flu Vaccine 'Fiasco', Smithsonian Magazine, 2017.

Background Readings:
1. 'Learning from the Future', Scoblic, Harvard Business Review, 2020.
2. 'The Case Against Waging 'War' on Coronavirus, Serhan, The Atlantic, 2020

Preparatory Questions: As Secretary (Health, Education & Welfare), David Mathews, what questions would you ask about the 'facts' listed out in the March 18, 1976 action memo? As President Ford, what are the choices you are confronted with in responding to this possible health crisis? Do you agree with the consultative approach taken by President Ford? Would you structure your decision making differently?

Session 07. To Have and Have Not? Navigating Contradictions and Integrative Thinking

Case for Discussion: Fabindia
Case Update: 'Rural Artisans Stand to Benefit From Fabindia's Aggressive Growth Plan', Forbes India, 2017.

Background Readings:
1. 'The Hidden Opportunity in Paradoxes', Anthony, MIT Sloan Management Review, 2024.
2. 'Integrative Thinking 2.0: A User's Guide to Your Opposable Mind', Riel & Martin, Rotman Management, 2014.

Preparatory Questions: Do you agree with Wolfensohn's decision to invest in Fabindia?

What role has Fabindia's ideology played in its evolution? Should the company have entered the furniture business? Organic foods? Body care products? Do you agree with Bissell's plans to set up community owned supplier region companies?

Module II
The Dilemmas of Strategic Leadership

Session 08. Discovering Opportunities or Creating Opportunities?

Case for Discussion: Indian Software Services Industry

Background Readings:
1. 'Discovery & Creation: Alternative Theories of Entrepreneurial Action', Alvarez & Barney, Strategic Entrepreneurship Journal, 2007.
2. 'What is Disruptive Innovation?' Christensen, Raynor, & McDonald, Harvard Business Review, 2015.

Discussion Questions: How would you account for the rise of the Indian software services industry? What were the various inflection points in the industry's path to attain a global status? Will the industry successfully navigate the digital shift?

Session 09. Building Advantage or Overcoming Disadvantage?

Case for Discussion: Bharat Forge

Background Readings:
1. 'Strategy Needs Creativity', Brandenburger, Harvard Business Review, 2019.
2. 'How David Beats Goliath', Gladwell, The New Yorker, 2009.

Preparatory Questions: How did BFL manage to emerge as a leader in the global forgings industry? Does the company's decision to invest in building huge capacity ahead of demand make sense? Why did the company restructure its finances and spin off its assets into a separate company? Why acquire the order book and not the assets from Dana Corporation? Why did it acquire CDP?

Session 10. Delivering Growth or Pursuing Profitability?

Case for Discussion: Hindustan Unilever

Background Readings:
1. 'Mapping Your Growth Direction', Chapter 8, Viguerie, Smit, & Baghai, Granularity of Growth, 2008
2. 'Which Strategy When', Bingham, Eisenhardt, & Furr, MIT Sloan Management Review, 2011.

Discussion Questions: Critically appraise the strategic choices made by the Chairmen of Hindustan Lever over the years? Specifically, do you agree with the growth strategies

adopted by the immediate past two Chairmen – Dadiseth and Vindi Banga? What advice would you give Chairman Harish Manwani?

Sessions 11 & 12: Shareholder Value or Enterprise Longevity?

Case for Discussion: [In-Class Exhibition]

Background Readings:
1. 'The Misapplication of Mr. Michael Jensen: How Agency Theory Brought Down the Economy & Why It Might Again', Dobbin & Jung, Markets on Trial: The Economic Sociology of the U.S. Financial Crisis (Part B), Emerald, 2010.
2. 'The Error at the Heart of Corporate Leadership', Bower & Paine, Harvard Business Review, 2017.
3. 'What Managers Get Wrong About Capital', Martin, Harvard Business Review, 2020.

Session 13. Aligning Aspiration, Capability, & Strategy - Repeatedly

Case for Discussion: ITC Ltd.

Background Readings:
1. 'What is the Theory of Your Firm?', Zenger, Harvard Business Review, 2013.
2. 'The CEO's Role in Business Model Reinvention', Govindarajan & Trimble, Harvard Business Review, 2011.

Discussion Questions: How would you evaluate ITC's performance over the years? Why did Deveshwar redefine ITC's mission as 'India First' on the 100th anniversary of the company? Why did relations between the management teams at ITC and BAT turn contentious? Whose position would you support? Are ITC's endeavours at integrating societal concerns into its strategic initiatives substantive or merely symbolic? How would you evaluate Deveshwar's decision to take ITC into the highly competitive FMCG sector? Would you have any advice for Sanjiv Puri?

Module III
The Arc of Strategic Leadership

Session 14. Becoming a Strategic Leader (A): Ad Astra?

Case for Discussion: Doubling Down – Elon Musk's Big Bets in 2022

Background Readings:
1. 'Innovation: Imaginaries of Technological Futures', Beckert, Imagined Futures: Fictional Expectations & Capitalist Dynamics, Ch 07, 2016.
2. 'Strategy: The Uniqueness Challenge', Zenger, Harvard Business Review, 2013.

Discussion Questions: Assess the SpaceX strategy. Assess the Tesla strategy. What, if anything, connects the diverse businesses championed by Elon Musk? Do you agree with Musk's decision to buy Twitter? Would you advise Musk to continue aspiring for the stars (or, specifically, Mars) or should he slow down and focus?

Session 15. Becoming a Strategic Leader (B): Straddling Insight & Execution

Case for Discussion: Napoleon Bonaparte

Background Readings:
1. McChrystal, Becoming the Enemy, Foreign Policy, 2011.
2. 'The Corsican Conquers Europe: Coup d'Oeil in Classical Military Strategy', Duggan, Strategic Intuition, Ch. 5, 2007.

Discussion Questions: What were the fundamental building blocks of Napoleon's war strategy? How did Napoleon's war strategy differ from traditional war strategies? How, if at all, did the quality of Napoleon's strategizing change over the period of his rise and fall? How did General Stanley McChrystal adapt to counter the Al-Qaeda network in Iraq? What are the lessons for strategy and organization across Napoleon's battlefield campaigns and McChrystal's counter-insurgency operations?

Session 16. Becoming a Strategic Leader (C): Contextualizing Cosmopolitanism

Case for Discussion: Carlos Ghosn – The Rise & Fall of an Automotive Legend (A) & (B)

Background Readings:
1. 'When and Why Do Hedgehogs and Foxes Differ?', Kell, Critical Review, 2010.
2. 'The Cosmopolitan Corporation', Ghemawat, Harvard Business Review, 2011.

Discussion Questions: Is Carlos Ghosn a criminal evading justice or the victim of a transnational coup? What is your evaluation of Ghosn's strategy for turning Nissan around? Was the tripartite alliance structured appropriately to meet the diverse goals of the parties involved? What is the future you envisage for the transnational tripartite alliance?

Session 17 & 18. Becoming a Strategic Leader (D): Exercising Power & Enacting Change

Case for Discussion: [In-Class Exhibition]

Background Readings:
1. 'Sun Tzu and Machiavelli', Freedman, Strategy: A History, Ch. 04.
2. 'The New Psychology of Leadership', Reicher, Haslam & Platow, Scientific American, 2007.

Session 19. Becoming a Strategic Leader (E): Espousing a World-View

Case for Discussion: Steve Jobs - Leader Strategist

Background Readings:

1. 'The Cognitive Foundations of Visionary Strategy', Schilling, Strategy Science, 2018.

Discussion Questions: Why was Apple so successful in the initial years of the PC industry? Why was Jobs stripped of his operating responsibilities in 1985? How did his time at NeXT and his time at Pixar shape Jobs? When Jobs returned to Apple in 1996, the company was nearly bankrupt? Why? How did Jobs turn around the fortunes of Apple?

Session 20. Summing Up

Background Readings:

1. 'The Third Part of the Soul', Identity: The Demand for Dignity and the Politics of Resentment.', Fukuyama, 2018.
2. 'How Will You Measure Your Life', Christensen, Harvard Business Review, 2010.
3. 'Funes the Memorious', Borges, 1944.